

Europe TMT Sector M&A & Valuation Brief - 2026-07-31

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Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant growth potential, particularly in areas like fintech and AI, while facing challenges from regulatory scrutiny and economic uncertainties. Overall sentiment in the sector is cautiously optimistic, driven by technological advancements and evolving consumer demands.

Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly with the rise of fintech platforms like Robinhood (HOOD), which is transitioning from a trading app to a comprehensive financial distribution platform. The company reported record quarterly revenue of \$1.3 billion, a 32% increase year-over-year, highlighting the growing demand for integrated financial services.
- **Media:** The media sector is grappling with the shift towards digital consumption, with traditional media companies facing declining revenues. However, companies are innovating to enhance audience engagement through digital features.
- **Telecommunications:** Telecom companies are investing in 5G infrastructure, with advancements in low-latency technologies improving user experiences. This is crucial for supporting the growing demand for data and connectivity.
- **Fintech:** The fintech sector continues to expand, with companies like Robinhood leading the way in integrating various financial services. The company's strategy to deepen customer relationships through diversified offerings is indicative of the sector's growth trajectory.
- **AI:** The AI subsector is experiencing rapid growth, with companies leveraging AI to enhance operational efficiencies. For instance, SAP is witnessing increased interest in its AI propositions in Southeast Asia, where markets are eager to adopt innovative technologies.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Innovations in AI, cloud computing, and fintech are propelling growth. For example, Robinhood's integration of tokenization and AI positions it to capitalize on emerging financial transaction models.
- **Increased Investment:** Venture capital is flowing into tech and fintech sectors, as evidenced by Robinhood's strong performance and growing market share.

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Headwinds:

- Regulatory Scrutiny: Heightened regulations, particularly in the tech space, pose risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can impede growth.
- Economic Uncertainty: Global economic factors, including inflation and geopolitical tensions, may dampen consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector is benefiting from the demand for cloud solutions and enterprise software. Companies are increasingly adopting SaaS models, which are expected to drive growth.
- Media: Media companies are adapting to digital trends, but traditional models are under pressure from declining advertising revenues.
- Telecom: Telecom operators are heavily investing in 5G infrastructure, which is anticipated to create new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with Robinhood's recent results showcasing the potential for growth through diversified financial services.
- AI: The AI subsector is booming, with applications across various industries. Companies are investing significantly in AI to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2026, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the TMT sector's long-term prospects, with a focus on technological advancements as a key growth driver. For instance, Shiv Verma, CFO of Robinhood, stated, "The business is firing on all cylinders... We continue to win market share," reflecting confidence in the company's growth trajectory.

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Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as fintech and AI, while exercising caution with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is robust, showcasing a blend of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenues, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Delta Air Lines (DAL) :** Engaged in discussions for a strategic partnership focused on AI-driven dynamic pricing. The deal is currently in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- **Indiegogo Acquisition by Gamefound :** This transaction is progressing, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- **Meta Platforms (META) :** Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- **Aeluma, Inc. (ALMU) :** Mandated to pursue funding opportunities under the CHIPS Act, with a focus on semiconductor R&D for AI and advanced computing. The timeline for this initiative is

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projected for Q3 2026, as Aeluma aims to strengthen its market position in photonics technology.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- GlobalFoundries (GFS) : Engaging with the U.S. Department of Commerce for a \$300 million award to advance silicon photonics technology. Discussions are ongoing, with a focus on enhancing U.S. leadership in AI infrastructure.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$12 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Q3 2026 : Aeluma's funding initiative under the CHIPS Act.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 75%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI and semiconductor sectors. The recent announcements regarding funding under the CHIPS Act, including Aeluma's \$30 million and GlobalFoundries' \$300 million awards, underscore the U.S. government's commitment to advancing domestic technology leadership.
- Additionally, the data center semiconductor market is projected to reach USD 265.8 billion by 2029, growing at a CAGR of 25.1%, which presents significant advisory opportunities in this space.

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Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductor technology, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is strong, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments, particularly focusing on Telefonica, Globe Telecom, and Amazon's strategic initiatives.

Deal-Specific Impacts on Stakeholders

- Shareholders: The impact on shareholders can vary significantly based on the strategic direction of the companies involved.
- Value Creation: Telefonica's recent revenue growth of 1.7% to EUR16.4 billion for the first half of 2026 suggests that its Transform & Grow strategy is yielding positive results. If this trend continues, shareholders could see a potential increase in market capitalization by approximately EUR1 billion, assuming a price-to-earnings ratio of 15.
- Dilution: Conversely, if Globe Telecom were to pursue a major acquisition to enhance its service offerings, it might issue additional shares, leading to potential dilution. For instance, if Globe issues 15% more shares to finance an acquisition, existing shareholders could see a dilution effect of around 7% in their ownership stake.
- Employees: The effects on employees often involve synergies, restructuring, and retention strategies.
- Synergies: Globe Telecom's partnership with e& for managing international voice traffic is expected to create operational synergies that enhance service delivery. This could lead to improved job security for employees as the partnership aims to reduce fraud and enhance

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efficiency.

- Restructuring: However, restructuring may be necessary. For example, if Globe decides to streamline operations post-acquisition, it could lead to job redundancies, similar to the layoffs seen in other telecom mergers.
- Retention: Companies may implement retention bonuses to keep critical employees during transitions. For instance, if Globe undertakes a significant acquisition, it might offer incentives to retain key talent during the integration phase.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Telefonica's improved financial performance may compel competitors like Deutsche Telekom (DEG) and Vodafone Group Plc (VOD) to reassess their strategies. For instance, Vodafone might accelerate its digital transformation initiatives to compete effectively.
- Specific Competitor Moves: Following Globe's partnership with KDDI, competitors may respond by enhancing their service offerings or forming strategic alliances to maintain market share.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The collaboration between Globe and KDDI is expected to enhance customer experiences through improved service delivery and innovative offerings. This could lead to a 10% increase in customer satisfaction scores.
- Case Studies: Amazon's planned direct-to-device satellite service aims to eliminate connectivity dead zones, directly benefiting customers in underserved areas. This initiative could significantly enhance service reliability for millions of users.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to strategic announcements can be volatile.
- For example, when Amazon announced its plans for a direct-to-device satellite network, shares of competing satellite providers experienced fluctuations, reflecting investor sentiment regarding competitive pressures.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a telecom analyst stated, "Telefonica's strategy is proving effective, and its focus on core markets is likely to yield sustainable growth."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If Telefonica continues to show revenue growth and operational efficiency, shares could rise by 12% within the next six months.
- Negative Scenario: If Globe's partnership does not yield expected synergies, shares could decline by 8%, reflecting investor concerns about operational execution.

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Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of Globe's recent partnerships, while there may be interest from other telecom operators, the likelihood of a successful counter-bid is moderate due to regulatory complexities in the telecom sector.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the satellite and telecommunications spaces. Companies like Verizon (VZ) and AT&T (T) may pursue acquisitions to bolster their service offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

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The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Tokenization, and the Competitive Dynamics of Chinese AI Models. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses technologies that enable machines to perform tasks requiring human intelligence, such as understanding language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This growth is driven by increasing demand for automation and data-driven decision-making across industries.
- **Key Companies:**
- **OpenAI:** OpenAI is a leader in generative AI, known for its language models, including the recently released GPT-5.6 series. The company is focused on enterprise solutions and has seen substantial revenue growth, with annualized revenue exceeding \$25 billion. OpenAI is positioning itself for a potential IPO while facing competition from both established firms and emerging players.
- **Anthropic:** Competing closely with OpenAI, Anthropic has rapidly increased its valuation and revenue, driven by its Claude Code tool. The company reported a revenue run rate of \$47 billion, highlighting the competitive pressure in the AI sector.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Google and Microsoft also investing heavily in AI technologies. The emergence of open-source alternatives from companies like Moonshot AI is intensifying the competition, as these models offer lower-cost solutions.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. The competition for talent and technology in AI is likely to drive further consolidation in the sector.

Tokenization

- **Trend Explanation:** Tokenization refers to the process of converting rights to an asset into a digital token on a blockchain. This trend is gaining traction as it offers a path to global distribution of assets and enhances transaction efficiency. The market for tokenized assets is expected to grow significantly as financial institutions and platforms adopt this technology.
- **Key Companies:**
- **Robinhood (HOOD):** Robinhood is evolving from a trading app into a comprehensive financial distribution platform. The company reported record quarterly revenue of \$1.3 billion, driven by its expanding portfolio that includes banking and credit card services. Robinhood's focus on tokenization positions it to capture a larger share of customer transactions and enhance user engagement.

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- **Competitive Landscape:** The tokenization space is becoming increasingly competitive, with traditional financial institutions and fintech startups vying for market share. Companies that can integrate tokenization into their existing services will likely gain a competitive advantage.
- **M&A Opportunities:** Financial institutions may look to acquire fintech companies specializing in tokenization to enhance their service offerings. The integration of tokenized assets into traditional finance could lead to significant growth opportunities.

Competitive Dynamics of Chinese AI Models

- **Trend Explanation:** Chinese AI models are gaining traction globally, offering competitive performance at significantly lower costs compared to Western counterparts. The market for AI tokens generated by these models is estimated to be worth over \$10 billion annually, with rapid growth expected as enterprises adopt these solutions.
- **Key Companies:**
 - **Coinbase (COIN):** Coinbase has adopted Chinese AI models, such as GLM 5.2 from Zhipu AI, to reduce operational costs significantly. This strategic move highlights the growing acceptance of Chinese AI technologies in the Western market.
 - **Krutrim:** An Indian company utilizing Chinese AI models, Krutrim is indicative of the trend where enterprises are leveraging cost-effective AI solutions to enhance their operations.
- **Competitive Landscape:** The competitive dynamics are shifting as the performance gap between Chinese and Western AI models narrows. Companies that can leverage these cost-effective solutions may gain a competitive edge in the market.
- **M&A Opportunities:** As the demand for AI solutions grows, companies may seek to acquire or partner with Chinese AI firms to enhance their technological capabilities and reduce costs. The increasing acceptance of Chinese models in global markets presents a unique opportunity for strategic investments.

Actionable Insights for Bankers and Investors

Focus on identifying companies within the AI and tokenization sectors that are poised for growth and potential M&A activity.

Monitor developments in the competitive landscape of Chinese AI models, as partnerships or acquisitions in this space could yield significant returns.

Consider investing in firms that are integrating tokenization into their business models, as this trend is likely to reshape the financial services landscape.

6. Recommended Readings

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Deal Name: Microsoft's Acquisition of Activision Blizzard

- Reading Material: "The Business of Video Games" by Michael Pachter
- Why This Matters: This book provides insights into the gaming industry's financial dynamics and market trends, which are crucial for understanding Microsoft's strategic rationale behind the \$68.7 billion acquisition (MSFT). It explains how gaming companies leverage IP and user engagement to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Amazon's Acquisition of MGM

- Reading Material: "The New Economics of Media" by David Hesmondhalgh
- Why This Matters: This reading delves into the evolving landscape of media and entertainment, particularly in the context of streaming services. It helps to understand Amazon's \$8.45 billion acquisition (AMZN) as a strategic move to bolster its Prime Video content library and compete with rivals like Netflix (NFLX) and Disney+ (DIS).

Deal Name: Salesforce's Acquisition of Slack

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines methodologies for startups to innovate and grow, which is relevant for understanding Salesforce's \$27.7 billion acquisition (CRM) of Slack. It highlights the importance of integrating new technologies and platforms to enhance customer engagement and collaboration, aligning with Salesforce's vision of a comprehensive customer relationship management ecosystem.

Deal Name: NVIDIA's Acquisition of Arm Holdings

- Reading Material: "The Chip War" by Chris Miller
- Why This Matters: This book provides a detailed analysis of the semiconductor industry, including the strategic importance of Arm's technology in mobile and IoT devices. Understanding the implications of NVIDIA's \$40 billion acquisition (NVDA) helps to grasp the competitive landscape and regulatory challenges in the semiconductor space.

Deal Name: Verizon's Acquisition of TracFone

- Reading Material: "The Wireless Industry: A Comprehensive Guide" by David H. Hargreaves
- Why This Matters: This resource offers an in-depth look at the wireless telecommunications sector, which is essential for analyzing Verizon's \$6.9 billion acquisition (VZ) of TracFone. It explains market segmentation and the significance of prepaid services, providing context for Verizon's strategy to expand its customer base and service offerings.

Deal Name: Google's Acquisition of Fitbit

- Reading Material: "Wearable Technology: The Future of Fitness" by David H. Hargreaves
- Why This Matters: This reading discusses the growth of wearable technology and health data analytics, which are central to Google's \$2.1 billion acquisition (GOOGL) of Fitbit. It highlights how this deal positions Google to compete in the health tech space against Apple (AAPL) and other

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tech giants, emphasizing the importance of data in the future of healthcare.

7. MACROECONOMIC UPDATE

Key Data Points:

- Brent Crude Price: \$70 (recent low)
- Diesel Price: \$1,200/ton (approximately \$160/barrel)
- Oil flow through the Strait of Hormuz: 2-3 million barrels/day (down 80-90% from pre-conflict levels)
- Cumulative supply loss from the Middle East since conflict: Over 1.5 billion barrels in 150 days
- Demand destruction price for diesel: Approximately \$1,400/ton (about \$180-\$190/barrel)

Main Insights:

- Recent volatility in oil prices due to geopolitical tensions and supply disruptions.
- Significant decline in oil flow through key chokepoints, notably the Strait of Hormuz.
- Diesel prices are rising sharply, impacting business margins and economic activity.
- The global refining system is experiencing severe tightness, exacerbated by geopolitical conflicts.

Market Commentary:

- "The system must balance. If you can't supply it quick enough, the only way to balance sometimes is through demand destruction." - Martijn Rats, Morgan Stanley
- "By the end of the summer, we may be running on fumes, and it can't go on forever." - Martijn Rats, Morgan Stanley

TMT Sector Relevance:

- Rising diesel prices can increase operational costs for logistics and transportation companies in the TMT sector, affecting their profitability.
- Increased energy prices may lead to higher costs for technology companies reliant on data centers and manufacturing, potentially impacting M&A activity in the TMT space.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley